

**BEFORE THE PUNJAB STATE ELECTRICITY REGULATORY COMMISSION**  
**SITE NO. 3, BLOCK B, SECTOR 18-A**  
**MADHYA MARG, CHANDIGARH- 160018**  
**PETITION NO. 22 OF 2026**

**IN THE MATTER OF:**

Vector Green Sunshine Pvt. Ltd. - Petitioner

Versus

Punjab State Power Corporation Limited - Respondent

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**DATE: 31.07.2026**

**PLACE: NEW DELHI**

**WRITTEN SUBMISSION ON BEHALF OF RESPONDENT NO. 1 - PUNJAB STATE POWER CORPORATION LIMITED (PSPCL)**

**MOST RESPECTFULLY SHOWETH:**

1. The present Petition has been filed by Vector Green Sunshine Pvt. Ltd. (**Petitioner**) seeking compensation for the expenditure incurred due to levy of Goods and Service Tax (**GST**) under '*Reverse Charge Mechanism (RCM) on the renting of immovable property by an unregistered lessor to a registered person*', in terms of the Notification No. 09/2024 dated 08.10.2024 (with effect from 10.10.2024) [**Page 735, Petition**] notified by the Ministry of Finance (Department of Revenue), Government of India (**MoF**).
2. By way of the present Petition, the Petitioner has sought to contend that it is entitled to compensation of Rs. 41,14,127/- as on December, 2025 on the premise that the Notification dated 08.10.2024 qualifies as a Change in Law Event under the Electricity (Timely recovery of costs due to Change in Law) Rules, 2021 dated 22.10.2021 (**CIL Rules, 2021**) [**Pages 757-758, Petition**].
3. It is submitted that the Petitioner is not entitled to any relief and the Petition deserves to be dismissed in limine for the reasons stated herein below:

**THE PPA/IA BARS ANY ADDITIONAL PAYMENTS AND COMPENSATION BY PSPCL [Pages 15-17, Reply]**

4. The Petitioner was selected through competitive bidding under Section 63 of the Electricity Act, 2003. The rights and obligations of the parties are governed exclusively by the Power Purchase Agreement (**PPA**), the Implementation Agreement (**IA**) and the RfP. Under the IA dated 24.03.2015 [**Pages 631-689, Petition**], the Petitioner agreed to a fixed tariff of Rs. 7.45/kWh, with the stipulation contained in Article 3(A) [**Page 643, Petition**] that the tariff shall remain constant throughout the tariff period and that no additional payment shall be payable to the Company.
5. The Petitioner thereafter executed the PPA dated 31.03.2015 [**Pages 690-730, Petition**] with PSPCL. Recital (d) of the PPA [**Page 692, Petition**] incorporates the IA as an integral part of the PPA, while Articles 2.1.1 [**Page 697, Petition**] and 29.1.0 [**Page 724, Petition**] expressly

provide that the PPA constitutes the entire agreement between the parties and that no additional payment shall be payable to the Petitioner over and above the agreed tariff of Rs. 7.45/kWh.

6. The PPA, as consciously agreed between the parties, contains no Change in Law clause. The Petitioner does not dispute this position.
7. The Petitioner nevertheless contends that Regulation 23 of the RE Tariff Regulations, 2012 [**Page 65, Petition**] overrides the contractual terms and that PSPCL cannot rely on Regulations 5/6 (25-year tariff period) while rejecting Regulation 23 (tax pass-through) [**Paras 11, 20–21, Rejoinder**].
8. The above contention is misconceived. The 25-year tariff period flows independently from Article 2.1.1(i) of the PPA [**Page 697, Petition**], and not merely from the Regulations. The same is also recorded in this Hon'ble Commission's Order dated 11.05.2015 in Petition No. 21 of 2015 [**Pages 627–628, Petition**], in terms identical to Regulation 6(c).
9. It is settled law that clear contractual terms, particularly where the contract contains an entire agreement clause, cannot be rewritten by importing general regulatory principles. Reliance is placed on *Haryana Power Purchase Centre v. Sasan Power Limited & Ors.*, (2024) 1 SCC 247 [Paras 103–104, 107] and *Energy Watchdog v. CERC*, (2017) 14 SCC 80 [**Paras 19–20**].
10. Therefore, in terms of the PPA, having duly been entered into with open eyes, stipulating for no Change in Law clause and that no additional payment shall be payable during the term of the PPA, the Petitioner cannot now be permitted to take a volte-face and claim which is impermissible in terms of the PPA.

**REGULATION 23 OF THE RE TARIFF REGULATIONS, 2012 DOES NOT APPLY, AS THE PETITIONER'S TARIFF WAS ADOPTED UNDER SECTION 63, NOT SECTION 62**

11. In regard to the above, it is submitted that the entire basis of the argument of the Petitioner on this count is completely baseless for the reason that the regulations framed by this

Hon'ble Commission do not apply to the tariff adopted to the projects are adopted under Section 63 of the Electricity Act, 2003. Regulation 3 (Scope and Extent of Application) expressly limits the applicability of the RE Tariff Regulations, 2012 to tariff determined by the Commission under Section 62 of the Electricity Act, 2003 [**Pages 50–51, Petition**].

12. The Petitioner's tariff of **Rs. 7.45/kWh** was discovered through competitive bidding under Section 63 and adopted by this Hon'ble Commission vide Order dated 11.05.2015 [**Pages 619–630, Petition**]. It was, therefore, not a tariff determined under Section 62 [**Para 15 at Page 627, Petition**].
13. Consistent with Regulation 3 [**Page 50, Petition**] of the RE Tariff Regulations, 2012, this Hon'ble Commission, while determining the generic tariff for FY 2012-13 vide Order dated 19.07.2012 [**Pages 110-137, Petition**] in Petition No. 35 of 2012, clarified that where tariff is discovered through competitive bidding, the RE Tariff Regulations operate only as a benchmark and not as the governing tariff framework [**Para 5 at Page 117, Petition**]. Consequently, Regulation 23 [**Page 65, Petition**] has no application to a tariff adopted under Section 63.
14. The Petitioner does not dispute that the tariff was adopted under Section 63. The contention that the process was merely a discount on the generic tariff and not competitive bidding [**Paras 8–10, Rejoinder**] is contrary to the Order dated 11.05.2015 [**Pages 619–630, Petition**], which records that the tariff was approved through the competitive bidding process conducted by PEDA on the basis of discounts offered on the generic tariff [**Para 15 at Pages 625–627, Petition**].
15. The Petitioner's reliance on Clause 5.1 of the NRSE Policy, 2012 [**Pages 144-145, Petition**] is equally misconceived. The said policy cannot enlarge the scope of the RE Tariff Regulations, 2012 beyond the express limitation contained in Regulation 3.

**PETITIONER AVAILED OR HAD THE OPPORTUNITY TO AVAIL FISCAL BENEFITS UNDER THE NRSE POLICY 2012 AND THE RFP [Pages 17-19, Reply]**

16. It is submitted that under Clause 4 of the NRSE Policy, 2012 [**Pages 157–159, Petition**] and Clause 1.3 of the RfP [**Pages 354–355, Petition**], the Petitioner was eligible to avail fiscal

assistance from the Government of Punjab. Further, Clause 1.5(d) of the RfP [**Page 358, Petition**] provided an alternate and structured mechanism for land procurement, while the NRSE Policy, 2012 also granted 100% exemption from registration fee and stamp duty. Despite these lower-risk and cost-efficient alternatives, the Petitioner consciously chose to secure land through private lease arrangements with unregistered lessors. It cannot now seek to shift the consequences of that commercial decision onto PSPCL.

**THE CIL RULES, 2021 ARE NOT ATTRACTED, AND THE MANDATORY PRE-CONDITIONS ARE NOT SATISFIED [Pages 21-23, Reply]**

17. In regards to the above, it is submitted that the CIL Rules, 2021 apply only where the occurrence of a Change in Law event is undisputed and the only issue concerns verification or computation of compensation, as held in ***NRSS-XXIX Transmission Ltd. v. CERC & Ors.***, OP No. 1 of 2022 (Judgment dated 05.04.2022) [**Para 25 @ Page 37-38**].
18. The Petitioner contents that the CIL Rules apply to events occurring on or after 22.10.2022. The same is misconceived. **Para 66 at Page 64** of the very same judgment clarifies that "CIL Rules do not deal with the dispute resolution powers of Regulatory Commissions," and that such subordinate legislation "*cannot negate the statutory role*" of the Hon'ble Commission in adjudicating Change in Law claims and compensation under the parent Act (Electricity Act). In the present case, the dispute turns on the express contractual bar contained in Articles 2.1.1(ii) of the PPA [**Page 697, Petition**] and 3(A) [**Page 643, Petition**] of the IA, which prohibit any additional payment, and not on the computation mechanism under the CIL Rules.
19. In any event, Rule 2(1)(c) of the Change in Law Rules, 2021 [**Page 757, Petition**] defines "*Change in Law*" as changes, leading to corresponding changes in the cost requiring change in tariff. It is further qualified with the phrase "*unless otherwise defined in the agreement*". Since the PPA/IA expressly exclude any change in tariff or additional payment, the Petitioner cannot invoke the CIL Rules to claim compensation beyond the agreed tariff of Rs. 7.45/kWh.
20. Without prejudice, the Petitioner has failed to comply with the mandatory requirements of the CIL Rules. The notice dated 29.04.2025 [**Page 745-749, Petition**] was issued more than

six months after the alleged Change in Law event, contrary to Rule 3(2) [**Page 757, Petition**], and no computation of impact, bills or invoices, as required under Rule 3(3) [**Page 757, Petition**], has been furnished.

21. The Petitioner's reliance on *Joginder Singh v. Virinderjit Singh Gill*, *Atma Ram v. State of Rajasthan*, *Jhajhar Power Ltd. v. UHBVNL* and *The Commission on its Own Motion v. Western Region Transmission (Maharashtra) Pvt. Ltd.* is misplaced. The first two decisions concern procedural irregularities and do not dilute mandatory preconditions under the CIL Rules. The *Jhajhar case* involved a PPA containing a Change in Law clause, unlike the present case, while the 17.12.2018 order predates the CIL Rules, 2021 and by no stretch can it deal with the implications of the CIL Rules, 2021 and is therefore inapplicable.

**THE LEVY OF GST UNDER RCM ON RENT PAID TO THE THIRD-PARTY UNREGISTERED LESSOR DOES NOT QUALIFY AS A CHANGE IN LAW AFFECTING THE SUPPLY OF ELECTRICITY [Pages 19-21, Reply]**

22. It is submitted that the Notification dated 08.10.2024 [**Page 735, Petition**] imposes GST under the Reverse Charge Mechanism on the renting of immovable property by an unregistered lessor to a registered person. The levy arises from the Petitioner's private land-lease arrangement and not from the generation, transmission or supply of electricity.
23. Clause 6.2(vi)(A) of the IA [**Page 651, Petition**] expressly permitted the Petitioner to procure project land either on an ownership or leasehold basis. The Petitioner's own letter dated 05.02.2026 [**Page 735, Petition**] acknowledges that leasing was chosen as a more time and cost-efficient option. Having consciously adopted that commercial structure, the Petitioner cannot transfer its tax consequences to PSPCL or the consumers of Punjab.
24. Further, Clauses 5.1.0 and 5.2.0 of the PPA [**Pages 704–705, Petition**] cast a continuing obligation on the Petitioner to obtain and maintain all statutory approvals and compliances, including payment of applicable statutory levies, at its own cost.
25. The Petitioner's reliance on *Tata Power Renewable Energy Limited v. MERC & Ors.*, *Appeal No. 215 of 2021*, Judgment dated 20.09.2021 [**Paras 43-44, Rejoinder**] is misplaced

and distinguishable. That case concerned a composite supply/EPC contracting structure integral to the generation project itself, where the Hon'ble Tribunal held that a commercial choice as to contracting structure cannot defeat an otherwise valid Change in Law claim arising from the project's core inputs. Here, by contrast, the existence of the very liability itself is a direct and foreseeable consequence of the Petitioner's independent choice between two contractually available options i.e. ownership or lease for procuring land, a choice expressly available to the Petitioner under Clause 6.2(vi)(A) [**Page 651, Petition**] of the IA. The two situations are not comparable.

26. The Petitioner's reliance on ***Petition No. 268/MP/2021 in the matter of Powerica Limited. Vs. Solar Energy Corporation of India Ltd*** is misplaced. While allowing the treatment of the said GST notification as a Change in Law event, the Hon'ble Central Commission observed that *the change in rate of Goods and Services Tax from 5% to 12% w.e.f. 01.10.2021 has resulted in the change in cost of the inputs required for generation*. Also, the PPA involved in the said matter had a 'Change in Law' clause which is not present in the present case.

**NO CASE IS MADE OUT FOR EXERCISE OF GENERAL REGULATORY POWER UNDER SECTION 86 OF THE ELECTRICITY ACT, 2003 [Pages 24-25. Reply]**

27. The exercise of regulatory powers under Section 86 of the Electricity Act, 2003 is permissible only where there exists a genuine gap requiring regulatory intervention. Since the PPA expressly governs the issue in the present case, there is no such gap. Consequently, in terms of the decision of the Hon'ble Supreme Court in ***Energy Watchdog v. CERC, (2017) 14 SCC 80***, regulatory powers cannot be invoked to grant a relief expressly excluded by the PPA.
28. In the present case, the PPA was entered through a competitive bidding process where the Petitioner submitted discounted bid. The tariff was fixed for 25 years. The commercial risks inherent in such a long-term arrangement, including the risk of changes in tax treatment of the generator's own business decisions, were to be borne by the Petitioner as the project developer.

29. The Petitioner's reliance on ***PGCIL v. Madhya Pradesh Power Transmission Company Ltd. & Ors., (2025) 8 SCC 705*** is misplaced. Unlike the present case, the agreement therein contained no provision governing compensation. Here, the PPA and IA expressly prohibit any additional payment. Likewise, Clause 6. 2(4) of the Revised Tariff Policy, 2016 [**Pages 761-764, Petition**], relied upon by the Petitioner, expressly permits Change in Law pass-through "*unless provided otherwise in the PPA.*" The Tariff Policy, therefore, recognizes the primacy of contractual risk allocation and does not confer an independent right to pass-through where the PPA provides to the contrary.
30. The PPA is not silent on the issue. Rather, it contains an express stipulation that no additional payment shall be payable on any account, thereby excluding any claim for Change in Law compensation.

**GST CIRCULARS AND QUANTUM [Pages 25-26. Reply]**

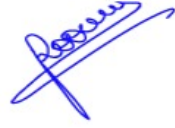
31. PSPCL's internal GST Circulars were issued solely for PSPCL's own statutory compliance as a recipient in unrelated transactions, and are not an admission of entitlement to compensation for the Petitioner's own separate lease arrangement.
32. The claimed quantum of Rs. 41,14,127/- rests on a bare tabulated statement [**Page 765, Petition**] without invoices, lease deeds, computation methodology, or auditor certification, and the claim for Carrying Cost, in any event, cannot survive the failure of the principal claim, nor run for a period of delay attributable to the Petitioner itself.

**CARRYING COST [Pages 26-27. Reply]**

33. The Petitioner's claim for Carrying Cost, sought from 10.10.2024 on a compounding basis [**Paras 51-54, Rejoinder**], is misconceived, as Carrying Cost is merely consequential and can arise only upon the establishment of a valid Change in Law entitlement, which is absent in the present case. Without prejudice, Carrying Cost cannot, in any event, accrue from a date prior to the Petitioner's own assertion of its claim. Though the Petitioner claims the Change in Law event from 08.10.2024, however, has filed the Petition only in March 2026 with a delay of one and half years. It is well settled that there cannot be a grant of interest or carrying cost for the period of delay caused on account of the party claiming the relief. In this regard



reference may be made to the matter of ***Maharashtra State Electricity Distribution Co. Ltd. v. MERC***, in ***Appeal No. 70 of 2007*** [Paras 7-9].



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**PLACE: NEW DELHI  
DATE: 31.07.2026**